

Northern Manufacturing Ltd.

Annual Audit Working Papers — Fiscal Year 2025

Engagement Period: January 1, 2025 to December 31, 2025

Audit Firm: Sample & Co. Chartered Accountants

Engagement Partner: J. Smith, CPA

Audit Manager: R. Patel, CPA

Reporting Standard: International Financial Reporting Standards (IFRS)

Audit Standards: International Standards on Auditing (ISA)

1. Materiality Calculation

Materiality has been determined in accordance with **ISA 320** using profit before tax as the most appropriate benchmark for this engagement, given the entity is profit-oriented and the figure is reasonably stable.

Component	Basis	Amount (USD)
Profit Before Tax	Audited PY adjusted	3,000,000
Overall Materiality	5% of PBT	150,000
Performance Materiality	60% of Overall	90,000
Clearly Trivial Threshold	5% of Overall	7,500

The clearly trivial threshold of **\$7,500** is applied to individual misstatements; amounts below this are not accumulated. Performance materiality of **\$90,000** is used at the assertion level to determine the nature, timing and extent of audit procedures.

2. Trial Balance — As at December 31, 2025

The trial balance below was extracted from the general ledger on January 12, 2026. All amounts are in United States dollars (USD).

Account Code	Account Name	Debit	Credit
1000	Cash and Cash Equivalents	452,300	—
1100	Accounts Receivable	1,243,800	—
1200	Inventory	890,500	—
1300	Prepaid Expenses	75,200	—
1500	Property, Plant and Equipment	4,250,000	—
1600	Accumulated Depreciation	—	1,820,000
2000	Accounts Payable	—	687,400
2100	Accrued Liabilities	—	215,300
2200	Short-Term Borrowings	—	450,000
2500	Long-Term Debt	—	1,200,000
3000	Share Capital	—	1,000,000
3100	Retained Earnings (Opening)	—	1,238,750
4000	Revenue	—	8,450,000
5000	Cost of Goods Sold	5,070,000	—
6000	Selling Expenses	892,300	—
6100	Administrative Expenses	643,500	—
6200	Depreciation Expense	385,000	—
7000	Interest Expense	98,000	—
8000	Income Tax Expense	360,850	—
Totals		15,061,450	15,061,450

3. Statement of Financial Position

As at December 31, 2025 (with comparatives)

Assets

	2025 (USD)	2024 (USD)	Change %
Cash and Cash Equivalents	452,300	238,150	+89.9%
Accounts Receivable	1,243,800	987,200	+26.0%
Inventory	890,500	623,400	+42.8%
Prepaid Expenses	75,200	62,800	+19.7%
Total Current Assets	2,661,800	1,911,550	+39.2%
Property, Plant and Equipment, net	2,430,000	2,485,000	-2.2%
Total Assets	5,091,800	4,396,550	+15.8%

Liabilities and Equity

	2025 (USD)	2024 (USD)	Change %
Accounts Payable	687,400	542,300	+26.8%
Accrued Liabilities	215,300	189,400	+13.7%
Short-Term Borrowings	450,000	350,000	+28.6%
Total Current Liabilities	1,352,700	1,081,700	+25.1%
Long-Term Debt	1,200,000	1,350,000	-11.1%
Share Capital	1,000,000	1,000,000	0.0%
Retained Earnings	1,539,100	964,850	+59.5%
Total Liabilities and Equity	5,091,800	4,396,550	+15.8%

4. Statement of Comprehensive Income

For the year ended December 31, 2025 (with comparatives)

	2025 (USD)	2024 (USD)	Change %
Revenue	8,450,000	7,640,000	+10.6%
Cost of Goods Sold	(5,070,000)	(4,623,000)	+9.7%
Gross Profit	3,380,000	3,017,000	+12.0%
Gross Margin	40.0%	39.5%	+0.5pp
Selling Expenses	(892,300)	(794,500)	+12.3%
Administrative Expenses	(643,500)	(587,200)	+9.6%
Depreciation Expense	(385,000)	(370,000)	+4.1%
Operating Profit	1,459,200	1,265,300	+15.3%
Interest Expense	(98,000)	(112,000)	-12.5%
Profit Before Tax	1,361,200	1,153,300	+18.0%
Income Tax Expense	(360,850)	(305,625)	+18.1%
Net Profit	1,000,350	847,675	+18.0%

Net profit grew by **18.0%** year-over-year, driven primarily by revenue growth of **10.6%** and a slight improvement in gross margin from **39.5%** to **40.0%**. Operating leverage benefited from administrative expenses growing more slowly than revenue.

5. Key Financial Ratios

Calculated for analytical review and going-concern assessment under **ISA 570**.

Ratio	Formula	2025	2024	Industry Avg
Current Ratio	Current Assets / Current Liabilities	1.97	1.77	1.85
Quick Ratio	(CA - Inventory) / CL	1.31	1.19	1.20
Debt-to-Equity	Total Debt / Total Equity	0.65	0.87	0.75
Return on Equity	Net Profit / Avg Equity	39.4%	37.4%	22.0%
Return on Assets	Net Profit / Avg Assets	21.1%	20.8%	12.5%
Days Sales Outstanding	AR / Revenue × 365	53.7	47.2	55.0
Inventory Turnover	COGS / Avg Inventory	6.70	7.85	8.00

Analytical observations: The current ratio of **1.97** indicates strong liquidity. However, **inventory turnover has declined from 7.85 to 6.70**, suggesting potential overstocking or slow-moving items that warrant further investigation. **Days sales outstanding increased from 47.2 to 53.7 days**, which may indicate collection difficulties or relaxed credit terms.

6. Risk Assessment Matrix

Significant risks identified during planning, in accordance with **ISA 315 (Revised)**.

Risk Area	Likelihood	Magnitude	Risk Rating	Response
Revenue Recognition (Cut-off)	High	High	Significant	Cut-off testing 10 days either side
Inventory Valuation	Medium	High	High	Physical count + NRV review
Going Concern	Low	High	Medium	Cash flow forecast review
Related Party Transactions	Medium	Medium	Medium	Confirmations + minute review
Management Override of Controls	Medium	High	Significant	Journal entry testing
IT General Controls	Low	Medium	Low	Walkthrough only
Fraud — Misappropriation	Low	Medium	Low	Standard substantive testing

Two risks have been assessed as **Significant** and will receive enhanced audit procedures: **Revenue Recognition (Cut-off)** due to year-end pressure to meet targets, and **Management Override of Controls** as required under **ISA 240.32**.

7. Summary of Audit Findings

Audit fieldwork was completed on January 28, 2026. The financial statements present fairly, in all material respects, the financial position of **Northern Manufacturing Ltd.** as at December 31, 2025, and its financial performance and cash flows for the year then ended, in accordance with IFRS.

Key Audit Matters

#	Matter	Status
1	Revenue recognition cut-off — testing completed, no material misstatements found	Cleared
2	Inventory valuation — NRV write-down of \$42,300 recorded, immaterial individually	Cleared
3	Going concern — 12-month cash flow forecast reviewed and considered reasonable	Cleared
4	Management override — Journal entry testing identified no unusual entries	Cleared
5	Related party transactions — 3 transactions identified, all disclosed appropriately	Cleared

End of audit working papers — Northern Manufacturing Ltd., FY 2025. This is a sample document for testing AuditAI's structured data extraction. Try asking questions like: "What is the materiality threshold?", "What's the cash balance?", "By how much did revenue grow?", "What are the significant risks?", "What is the current ratio?", or "How much was the NRV write-down?"